

CONFIDENTIAL INFORMATION MEMORANDUM - PAGE 1

Acme Enterprise Cloud, Inc. - Confidential Information Memorandum

Executive Summary:

Acme Enterprise Cloud reported FY2023 Total Revenue of \$40.0M, reflecting 32% year-over-year growth.

Annual Recurring Revenue (ARR) reached \$38.0M at year end with a Net Retention Rate (NRR) of 118%.

The company serves 450 mid-market enterprise clients with zero regulatory enforcement proceedings.

CONFIDENTIAL INFORMATION MEMORANDUM - PAGE 2

Financial Performance & Margins:

In FY2023, Gross Profit reached \$31.4M representing a 78.5% Gross Margin.

Operating efficiency drove FY2023 EBITDA of \$10.0M, demonstrating a 25.0% EBITDA margin.

Free cash flow conversion stood at 84% of EBITDA with minimal working capital requirements.

CONFIDENTIAL INFORMATION MEMORANDUM - PAGE 3

Customer Base & Diversification:

Acme enjoys a diversified, sticky customer base with low concentration risk.

Our single largest customer represents 14% of total ARR, and the top 5 customers represent 28% of ARR.

Logo churn remains historically low at 4.2% annually.